Republic of the Philippines
ENERGY REGULATORY COMMISSION
San Miguel Avenue, Pasig City

ENERGY REGULATORY COMMISSION
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RESOLUTION NO. 07, Series of 2023

A RESOLUTION ADOPTING A LENIENCY PROGRAM ON THE GOVERNING PERIOD FOR THE FILING OF THE APPLICATION FOR RENEWAL OF THE CERTIFICATE OF AUTHORITY (CA) TO OPERATE AND MAINTAIN A METER SHOP PURSUANT TO SECTION 3.1, ARTICLE III OF ERC RESOLUTION NO. 12, SERIES OF 2009

WHEREAS, Section 16 (d), (f) and (g) of Commonwealth Act No. 146, as amended by Republic Act No. 11659 (CA 146, as amended), otherwise known as the *Public Service Act*, gives the Commission the power, upon proper notice and hearing, to fix just and reasonable standards, classifications, regulations, practices, measurement, or service to be furnished, imposed, observed, and followed by any public service; to establish reasonable rules, regulations, instructions, specifications, and standards to secure the accuracy of all meters and appliances for measurements; and to compel any public service to furnish safe, adequate, and proper service as regards the manner of furnishing the same as well as the maintenance of the necessary materials and equipment;

WHEREAS, Section 17 (d) of CA 146, as amended, empowers the Commission to provide, on motion by or at the request of any consumer or user of a public service, for the examination and test of any appliance used for the measuring of any product or service of a public service;

WHEREAS, Commonwealth Act No. 349 (CA 349), otherwise known as *An Act creating a Standardizing Meter Laboratory to carry out the provisions of the Public Service Act on Meter Testing and Providing Funds therefor*, created a meter laboratory that has the duty of inspecting, examining and approving periodically all meters and appliances for measurements used by all public services under the jurisdiction of the Commission to ensure their accuracy;

WHEREAS, on 01 June 2009, the Energy Regulatory Commission (ERC) issued ERC Resolution No. 12, Series of 2009, otherwise known as *A Resolution Adopting the Rules and Procedures for the Test and Maintenance of Electric Meters of Distribution Utilities* (Rules) which took effect on 11 July 2009, fifteen (15) days following its publication in the Manila Times;

WHEREAS, Section 3.1 of the said Rules provides that "[a]ll individual or consortium of Distribution Utilities (DUs) and Third-Party Test Facilities shall be required to apply for a Certificate of Authority (CA) to maintain a Meter Shop. Upon showing that all the requirements have been complied with, the ERC shall issue a CA with a validity period of three (3) years, renewable upon the filing of the pertinent CA Renewal at least ninety (90) days prior to expiration of the CA, but subject to the ERC's assessment of the Meter Shop's performance for the preceding three (3) years;"

WHEREAS, pursuant to the EPIRA and its IRR, DUs are authorized to recover from their consumers Distribution, Supply and Metering (DSM) charge, which includes a retail customer charge to cover the cost of reading, operation, and maintenance of power metering facilities;

WHEREAS, such authority of DUs to recover DSM costs carries with it the obligation to comply with regulatory standards and requirements, and the duty of keeping its electric meter in serviceable condition;

WHEREAS, Article XIII of the said Rules provides that a violation of any section of the Rules, including failure to comply with the mandatory period of ninety (90) days for the submission of the application for renewal of the CA to operate and maintain a meter shop, shall be subject to penalty which the Commission may impose in accordance with the *Guidelines to Govern the Imposition of Administrative Sanctions in the Form of Fines and Penalties pursuant to Section 46 of Republic Act No. 9136*, as amended;

WHEREAS, the power of the Commission to impose fines and penalties "for any non-compliance with or breach of the said Act and the rules and regulations which the ERC promulgates or administers" is authorized under Section 43 (l) of Republic Act No. 9136, otherwise known as the *Electric Power Industry Reform Act of 2001* (EPIRA);

WHEREAS, the power and authority of the Commission to exercise leniency in the enforcement of its compliance timelines is incidental in carrying out its power to impose sanctions under Section 43 (l) of the EPIRA;

WHEREAS, the exercise of leniency toward DUs that may have failed to comply with the prescribed timelines for the filing of application for the renewal of the Certificate of Authority (CA) to Operate and Maintain a Meter Shop under Section 3.1, Article III of ERC Resolution No. 12, series of 2009, will incentivize cooperation in resolving outstanding compliance issues in prior years, thus enabling regulated entities to achieve a fresh start in making current their compliance with the mandated periods for the renewal of their CA in accordance with strict policies of the Commission;

NOW THEREFORE, the Commission hereby promulgates the following leniency program guidelines on the governing period for the filing of the Application for renewal of the Certificate of Authority (CA) to Operate and Maintain a Meter Shop pursuant to Section 3.1, Article III of the Rules.

These guidelines shall have immediate retroactive application following its publication/posting in the ERC Website. The Leniency Program shall terminate after 30 September 2023, unless otherwise extended by the Commission.

Let copies of this Resolution be furnished to all Distribution Utilities, consortium of Distribution Utilities (DUs), and Third-Party Test Facilities.

Pasig City, 22 May 2023.

ERC
Office of the Chairperson and CEO
MCD2023-005819

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Chairperson and CEO

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GUIDELINES ON THE LENIENCY PROGRAM ON THE GOVERNING PERIOD FOR THE FILING OF THE APPLICATION FOR RENEWAL OF THE CERTIFICATE OF AUTHORITY (CA) TO OPERATE AND MAINTAIN A METER SHOP PURSUANT TO SECTION 3.1, ARTICLE III OF ERC RESOLUTION NO. 12, SERIES OF 2009

SECTION 1. *Leniency Program.* The Leniency Program of the Commission offers the benefits of leniency in the form of relaxed enforcement of the governing period for the filing of application for the renewal of the Certificate of Authority (CA) to Operate and Maintain a Meter Shop.

Section 2. *Covered Violations.* These guidelines shall apply to Distribution Utilities (DUs), consortium of DUs, and Third-Party Test Facilities in relation to the late filing of their Application for Renewal of the CA to Operate and Maintain a Meter Shop, subject to any of the following conditions, *viz*:

a. A written request was filed before the expiration of the CA, requesting for additional period within which to file the renewal application; or

b. The application was pre-filed within the 90-day period prior to the expiration of the CA, but the Notice of Confirmation of Completeness Email (CCE) was issued and the docket number was assigned only after the lapse of the said period and the expiration of the CA, by reason of the applicant's compliance to the directives contained in the Notice of Incomplete Submission Email (NISE); or

c. The application was filed within the 90-day period but prior to the expiration of the CA; or

d. By reason of events or circumstances beyond the reasonable control of the applicant, such as but not limited to force majeure, floods, pandemic, and war; or

e. Other reasons that the Commission *En Banc* shall consider meritorious.

These guidelines shall also apply to all DUs, consortium of DUs, and Third-Party Test Facilities that have yet to file their application/renewal application, provided that the complete application is officially filed and duly received by the Commission **on or before 30 September 2023**.

Failure to meet the conditions as provided herein shall not qualify the subject entity to the Leniency Program and shall be subject to the provisions of existing rules and regulations on the matter.

In all instances, these guidelines shall not apply in cases where the same violation was committed by the applicant more than once during the lifetime of its CA.

SECTION 3. *Letter Warning.* In view of this Leniency Program, which has the effect of relaxing the prescribed period for the filing of application for the renewal of the CA to Operate and Maintain a Meter Shop per ERC Resolution No. 12, series of 2009, a letter warning shall be issued by the Commission in relation to the violations covered under Section 2. Subsequent violations shall be dealt with and penalized in accordance with the provisions of Resolution No. 3, series of 2009, other relevant rules and regulations of the Commission, the EPIRA, and other relevant laws.

SECTION 4. *Retail Customer Charge.* Upon the effectivity of these guidelines, all DUs without a CA to operate and maintain a Meter Shop shall immediately suspend the collection of the Metering Charge from its consumers until such time that the necessary CA is secured before the Commission. Failure to comply with this Section shall merit the imposition of sanctions as provided under the rules and regulations of the Commission, the EPIRA, and other pertinent laws.

SECTION 5. *Fraud and Misrepresentation.* In cases where the submitted documents contain false and fraudulent information, the applicant shall automatically be treated as "not eligible" and shall be subject to the sanctions provided under ERC Resolution No. 03, Series of 2009, and criminal liability as provided under the EPIRA and other relevant laws.

SECTION 6. *Separability.* If any part or provision of these guidelines is declared unconstitutional or illegal, the other parts or provisions shall remain valid.

SECTION 7. *Effectivity.* These guidelines shall have immediate retroactive application following its publication/posting in the ERC Website. The Leniency Program shall terminate after 30 September 2023, unless otherwise extended by the Commission.

Copies of these Guidelines shall be furnished to all DUs and consortium of DUs, and Third-Party Test Facilities.